Nucleus Satellite Communications (Madras) Private Limited
CIN: U74999TN1997PTC038400
Balance Sheet as at Mar 31, 2022
(All amounts are in Indian Rupees except share data or as stated)

	Note	As at March 31, 2022	As at March 31, 2021
EQUITY AND LIABILITIES			
Shareholders' funds			
Share capital	3	2,43,45,830	2,43,45,830
Reserves and surplus	4	-19,21,86,600	-13,46,46,922
		-16,78,40,770	**-11,03,01,092**
Non-current liabilities			
Long-term borrowings	5	9,41,88,338	7,64,51,760
Long-term provisions		-	-
		9,41,88,338	**7,64,51,760**
Current liabilities			
Short-term borrowings	8	21,05,67,376	20,68,53,721
Trade payables	9		
- Dues to micro enterprises and small enterprises		-	-
- Dues to creditors other than micro enterprises and small		26,57,58,866	26,65,18,119
Other current liabilities	10	3,10,80,142	4,30,65,762
Short-term provisions	7	31,20,208	31,20,208
		51,05,26,592	**51,95,57,810**
TOTAL		**43,68,74,160**	**48,57,08,478**
ASSETS			
Non-current assets			
Property, plant and equipment	11	30,22,71,473	32,14,76,402
Intangible assets	12	99,033	1,90,204
Capital work-in-progress		-	-
Deferred tax Assets (net)	13	6,93,99,135	6,93,99,135
Long-term loans and advances	14	3,56,96,352	3,58,18,381
Other Non Current Asset	15	15,29,640	18,75,111
		40,89,95,633	**42,87,59,233**
Current assets			
Inventories	16	31,90,016	31,90,016
Trade receivables	17	-	2,90,33,565
Cash and bank balances	18	11,30,243	11,63,245
Short-term loans and advances	19	2,35,58,268	2,35,62,419
		2,78,78,527	**5,69,49,245**
TOTAL		**43,68,74,160**	**48,57,08,478**

Significant accounting policies 2

The notes referred to above form an integral part of the financial statements

As per our report of even date

for **PKF Sridhar and Santhanam LLP**
Chartered Accountants
Firm's Registration No: 003990S/S200018

S. Rajeshwari
Partner

PKF SRIDHAR & SANTHANAM LLP CHENNAI FIRM REGN NO. 003990S/S200018

Membership No.: 024105

Place: Chennai
Date: 14/11/2023

For and on behalf of the Board of Directors of
Nucleus Satellite Communication (Madras) Private Limited

R. Sadasivan

Ramakrishnan Sadasivan
Liquidator

Taken on Record

Reg. No. IBBI/IPA-001/IP-P00108/2017-18/10215

Place: Chennai
Date: 14/11/2023

V.Raman
Erstwhile Managing Director

DIN:01803096

Place: Chennai
Date: 14/11/2023

Navneet Raman
Erstwhile Director

DIN:08965565

Place: Chennai
Date: 14/11/2023

Nucleus Satellite Communications (Madras) Private Limited
CIN: U74999TN1997PTC038400
Statement of Profit and Loss for the year ended March 31, 2022
(All amounts are in Indian Rupees except share data or as stated)

	Note	For the year ended March 31, 2022	For the year ended March 31, 2021
Revenue			
Revenue from operations	20	-	9,00,20,931
Other income	21	1,28,813	88,22,291
Total revenue		**1,28,813**	**9,88,43,222**
Expenses			
Cost of materials consumed	22	-	7,48,07,203
Purchases of stock-in-trade			
Changes in inventories of finished goods, work-in-progress and stock-in-trade	23	-	-
Other Direct Expenses	24	56,019	61,80,041
Employee benefits	25	-	1,84,74,646
Finance costs	26	78,39,072	3,95,27,599
Depreciation and amortisation	27	1,92,96,100	1,98,62,716
Other expenses	28	3,04,77,300	97,78,817
Total expenses		**5,76,68,491**	**16,86,31,022**
Profit before tax		**(5,75,39,678)**	**(6,97,87,800)**
Income tax expense			
Current tax		-	-
Deferred tax benefit		-	-
Profit for the year		**(5,75,39,678)**	**(6,97,87,800)**
Earnings per equity share (nominal value per share - Rs. 10 (Previous Year: Rs. 10))			
Basic and diluted (Rs.)	37	(23.63)	(28.67)
Significant accounting policies	2		

The notes referred to above form an integral part of the financial statements

As per our report of even date

for **PKF Sridhar and Santhanam LLP**
Chartered Accountants
Firm's Registration No: 003990S/S200018

S. Rajeshwari
Partner

Membership No.: 024105

Place: Chennai
Date: 14/11/2023

For and on behalf of the Board of Directors of
Nucleus Satellite Communication (Madras) Private Limited

Ramakrishnan Sadasivan
Liquidator

Taken on Record

Reg. No. IBBI/IPA-001/IP-P00108/2017-18/10215

Place: Chennai
Date: 14/11/2023

V.Raman
Erstwhile Managing Director

DIN:01803096

Place: Chennai
Date: 14/11/2023

Navneet Raman
Erstwhile Director

DIN:08965565

Place: Chennai
Date: 14/11/2023

Nucleus Satellite Communication (Madras) Private Limited
CIN: U74999TN1997PTC038400
Cash Flow Statement for the year ended 31st March 2022
(All amounts are in Indian Rupees except share data or as stated)

	For the year ended March 31, 2022	For the year ended March 31, 2021
Cash flow from operating activities		
Net profit before tax	(5,75,39,678)	(6,97,87,800)
Adjustments for:		
Depreciation and amortisation	1,92,96,100	1,98,62,716
Finance costs	78,39,072	3,95,27,599
Profit on sale of property, plant and equipment (net)	-	-
Unrealised foreign exchange differences (net)	-	-
Interest income	(93,174)	(6,30,296)
Bad debts written off	-	-
Provision for bad and doubtful debts	-	-
Provision for deferred rent	-	-
Provision for warranty	-	-
Liabilities / provisions no longer required written back	-	-
Provision for doubtful claim / advances	-	-
Operating cash flow before working capital changes	**(3,04,97,680)**	**(1,10,27,781)**
Decrease in inventories	-	1,28,07,944
(Increase) / decrease in trade receivables	2,90,33,565	6,01,52,758
(Increase) / decrease in loans and advances	4,152	(1,33,68,118)
Decrease in other current assets	1,22,029	-
Increase / (decrease) in trade payables	(7,59,253)	(4,56,06,696)
Increase / (decrease) in other current liabilities	(1,19,85,620)	(28,20,747)
Decrease in other long-term liabilities	-	-
Increase in provisions	-	-
Cash generated from operations	**(1,40,82,807)**	**1,37,360**
Income taxes paid	-	-
Net cash provided by operating activities (A)	**(1,40,82,807)**	**1,37,360**
Cash flow from investing activities		
plant and equipment, intangible fixed assets and capital work-in-progress) and capital advances	0 -	
Proceeds on sale of property, plant and equipment	-	-
Investment in subsidiary	-	-
Purchase of other investments	-	-
Bank deposits (having original maturity of more than three months)	3,45,471	21,57,854
Interest received	93,174	6,30,296
Net cash used by investing activities (B)	**4,38,645**	**27,88,150**
Cash flow from financing activities		
Repayment of short term borrowings (net)	-	-
Proceeds from long term borrowings	1,77,36,578	1,64,52,054
Proceeds from short term borrowings	37,13,655	2,01,02,746
Finance costs paid	(78,39,072)	(3,95,27,599)
Net cash used by financing activities (C)	**1,36,11,161**	**(29,72,799)**
Net (decrease)/ increase in cash and cash equivalents (A+B+C)	(33,002)	(47,289)
Effect of exchange differences on cash and cash equivalents held in foreign cur	-	-
Cash and cash equivalents at the beginning of the year (Refer note)	11,63,245	12,10,534
Cash and cash equivalents at the end of the year (Refer note)	11,30,243	11,63,245

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Nucleus Satellite Communication (Madras) Private Limited
Cash Flow Statement for the year ended 31st March 2022 (continued)
(All amounts are in Indian Rupees except share data or as stated)

Notes to cash flow statement

	As at March 2022	As at March 2021
Cash on hand	-	26,103
Balances with banks		
On current accounts	8,848	12,142
On Unpaid Dividend accounts	11,21,395	11,25,000
Other bank balances	-	-
	11,30,243	**11,63,245**

Significant accounting policies 2

The notes referred to above form an integral part of the financial statements

As per our report of even date

for **PKF Sridhar and Santhanam LLP**
Chartered Accountants
Firm's Registration No: 003990S/S200018

S. Rajeshwari
Partner

Membership No.: 024105

Place: Chennai
Date: 14/11/2023

For and on behalf of the Board of Directors of
Nucleus Satellite Communication (Madras) Private Limited

Ramakrishnan Sadasivan
Liquidator

Taken on Record

Reg. No. IBBI/IPA-001/IP-P00108/2017-18/10215

Place: Chennai
Date: 14/11/2023

V.Raman
Erstwhile Managing Director

DIN:01803096

Place: Chennai
Date: 14/11/2023

Navneet Raman
Erstwhile Director

DIN:08965565

Place: Chennai
Date: 14/11/2023

Nucleus Satellite Communications (Madras) Private Limited
CIN: U74999TN1997PTC038400
Notes to financial statements for the year ended 31st March 2022
(All amounts are in Indian Rupees except share data or as stated)

1. Company overview

Nucleus Satellite Communications (Madras) Private Limited ("the Company") is a private limited company incorporated in India in 1997, with its head office in Chennai. This company carries out the manufacture of satellite equipment. They have their factory at Sri City, Tada. Based on the application filed by one of the Operational creditors of the Company, M/s Posco India Processing Center Pvt Ltd before the Hon'ble National Company Law Tribunal, Chennai Bench, Chennai ('NCLT') on 25th November 2021 under Section 10 of The Insolvency and Bankruptcy Code, 2016 ("the Code") for initiation of corporate insolvency resolution process ('CIRP'). The application was admitted by the Hon'ble NCLT vide its order dated 14th October, 2022 and moratorium, as prescribed under Section 14 of the Code, commenced. Ms.Rongali Sridevi (having registration no IBBI/IPA003/IP-N00172/2018-19/12105) was appointed as Interim Resolution Professional ('IRP'). The CIRP period commenced w.e.f. 14th October, 2022, being date of receipt of order. The powers of Board of Directors stand suspended and all powers of the Board are vested in the IRP / RP.As required under the extent provisions of the Code, a Committee of Creditors ('CoC') was constituted on 19th December , 2022. The CoC in its 1st meeting held re-appointed Ms. Rongali Sridevi as Resolution Professional ('RP'). The NCLT, Pursuant to the application made under section 60(5) of the IBC 2016, has ordered for liquidation of the of the Corporate Debtor (the Company) and appointed Mr. Ramakrishnan Sadasivan as the liquidator vide its order IA/IBC/1515/CHE/2023 dated September 12, 2023.

2. Significant accounting policies

(i) Basis of accounting and preparation of financial statements

The Company maintains its accounts on accrual basis following the historical cost convention in accordance with generally accepted accounting principles (GAAP) and in compliance with the Accounting standards specified in the Companies (Accounting Standards) Rules, 2006 notified by the Central Government and other provisions of the Companies Act, 2013. Insurance and other claims are accounted for as and when admitted by appropriate authorities.

(ii) Use of estimates

The Preparation of financial statements in conformity with GAAP requires that the management of the company makes estimates and assumptions that affect the reported amounts of income and expenses of the period, reported balances of assets and liabilities and the disclosures relating to contingent liabilities as of the date of the financial statements. Example of such estimates include the useful life of fixed assets and intangible assets, provision for doubtful debts/ advances, future obligation in respect of retirement benefit plans, etc. Actual results could differ from these estimates.

(iii) Going Concern Assumption

The company has been continuously incurring losses due to which the networth of the company has eroded as at the year ending March 31, 2020. The company has also reported a negative networking capital for the year ending March 31, 2020 whereby the current liabilities has exceeded the current assets by Rs. 3834.12 lakhs. Additionally due to onset of the Covid – 19 pandemic, the company had stopped its operations intermittently between May 2020 to August 2020. Due to above mentioned indicators of financial crisis, the company had stopped its operations effective January 1, 2021.

On 14th October 2022, the National Company Law Tribunal {NCLT}, Division Bench – I ,Chennai , directed to Initiate Corporate Insolvency Resolution Process {CIRP) against the Company by admitting the application under section 7 of Insolvency and Bankruptcy Act, 2016 (IBC Act , 2016) filed by Posco India Processing Center Pvt Ltd ,one of the Operational Creditors. The NCLT, Pursuant to the application made under section 60(5) of the IBC 2016, has ordered for liquidation of the of the Corporate Debtor (the Company) and appointed Mr. Ramakrishnan Sadasivan as the liquidator vide its order IA/IBC/1515/CHE/2023 dated September 12, 2023. It is expected that since there is no Resolution Plan finalized out of the CIRP, the Company is being expected to be liquidated on going concern basis.
The financial statements have been prepared using going concern concept based on the assessment of estimated outcome of the ongoing Corporate Insolvency Resolution Process and considering the pendency of the above process, the financial statements have been prepared on a going concern basis by the Management.

(iii) Revenue recognition

Revenue from sale of products is recognized as and when the significant risks and rewards of ownership are transferred to the buyer which generally coincides when the goods are dispatched from the factory/stock points/ or delivered to customers as per the terms of the contract and the seller retains no effective control of the goods transferred. Sales are recorded net of trade discounts, rebates and sales taxes.

Export incentives receivable are accrued for when the right to receive the credit is established and there is no significant uncertainty regarding the ultimate collection of export proceeds.

Interest income is recognized on a time proportion basis, taking into account the amount outstanding and the rate applicable.

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(v) Property, plant and equipment

Property, Plant and Equipment are stated at cost less accumulated depreciation and impairment loss, if any. Cost comprises the purchase price and all expenditure necessary to bring the asset to its working condition for intended use.
Intangible assets are recognized at cost of acquisition only when future economic benefits attributable to the assets will flow to the enterprise.

(vi) Depreciation

Depreciation on assets is provided on the straight line method using the rates arrived at based on the useful lives estimated as per Schedule II to the Companies Act 2013. In case of useful life adopted higher than the Companies Act 2013, the same is supported by a technical evaluation certificate.

The company has estimated a useful life of 20 years for Plant and Machinery as against 15 years prescribed as per Schedule II of the Companies Act 2013.

Depreciation on fixed assets added/disposed off during the year is provided on pro-rata basis with reference to the date of addition/disposal.

The cost of the leasehold land is amortized over the period of lease.

(vii) Intangible assets and amortization

Acquired computer software licenses are initially capitalized as cost which includes the purchase price and other directly attributable cost of preparing the asset for its intended use. Costs associated with maintaining the computer software are recognized as expenses when incurred. The assets are carried at cost less accumulated depreciation and accumulated impairment losses. These costs are amortized to the statement of profit and loss using written down value method over their estimated useful lives of three years.

(viii) Impairment of Assets

At each balance sheet date, the management reviews the carrying amounts of its assets included in each cash-generating unit to determine whether there is any indication that assets were impaired.
An asset is treated as impaired when the carrying cost of asset exceed its recoverable value. The recoverable value is higher of an asset's net selling price and value in use. In assessing value in use, the estimated future cash flows expected from the continuing use of the asset and from its disposal are discounted to their present value using pre-tax discount rate that reflects the current market assessment of time value of money and risks specific to the asset.
An impairment loss is charged to the statement of profit and loss in the year in which an asset is identified as impaired. The impairment loss recognized in prior accounting period is reversed if there has been change in the estimate of recoverable amount.

(ix) Inventories

Inventories are valued after providing for obsolescence, as under:
a. Raw materials, consumables and bought out items at lower of weighted average cost or net realizable value.
b. Work-in-progress at lower of cost plus appropriate production overheads, or net realizable value
c. Scrap Material valued at lower of cost or net realizable value.
d. Finished Goods, at lower of weighted average basis or net realizable value.

(x) Cash flow statement

Cash flow statement is prepared under "Indirect Method" and the same has been attached to Balance sheet and Statement of Profit and Loss.



(xi) Foreign currency transactions and translations

(a) Initial Recognition:
Foreign currency transactions are recorded in the reporting currency, by applying to the foreign currency amount, the exchange rate between the reporting currency and the foreign currency at the date of the transaction.

(b) Conversion:
Foreign currency monetary items are reported using the closing rate on the date of Balance sheet

(c)Exchange difference:
Exchange differences arising on the settlement of monetary items at rates different from those at which they are initially recorded during the year, or reported in the previous financial statements, are recognized as income or as expenses in the statement of profit and loss in the year in which they arise.

(xii) Employee benefits

Short- term Employee benefits:
All employee benefits payable within twelve months of rendering the service are classified as short-term benefits. Such benefits including salaries, wages, bonus, etc. are recognized in the period in which the employee renders the related service.

Long -term employment benefits:

(a) Defined Contribution plan
Contribution to Employee Provident Fund and Employee State Insurance are deposited with the appropriate authorities and charged to the statement of profit and loss on accrual basis.

(b) Defined benefit plan

Gratuity:
The Company provides for retirement benefits in the form of gratuity. The company's gratuity plan is a defined benefit plan. The present value of gratuity obligation under such defined plan is determined based on an actuarial valuation carried out by an independent actuary using the Projected Unit Credit Method (PUCM). Actuarial gains and losses recognized immediately in the statement of profit and loss.

(xiii) Borrowing costs

Borrowing cost includes interest and other such costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use are capitalized as part of the cost of the respective asset. All other borrowing costs are expensed in the period they incurred.

(xiv) Segment reporting

Company operates in single business segment of satellite equipment. Hence, there are no different reportable segments. Risk and rewards in domestic and export are the same, there is no geographical segment either.



(xv) Lease

Lease of assets under which all the risks and benefits of ownership are effectively retained by the lessor are classified as operating lease. In respect of operating lease, rentals and all other expenses are charged to the statement of profit and loss on straight line basis over the lease term.

(xvi) Earnings per share

Basic earnings per share are calculated by dividing the net profit or loss for the year attributable to equity shareholders by weighted average number of equity shares outstanding during the year. For the purpose of calculating diluted earnings per share, the net profit or loss of the year attributable to equity shareholders and the weighted average number of equity shares outstanding during the year are adjusted for the effects of all dilutive potential equity shares.

(xvii) Taxation

Tax on income for the current period is determined on the basis of taxable income and tax credit computed in accordance with the provisions of the Income Tax Act 1961, and based on the expected the outcome of assessment /appeals.
Deferred tax is recognized on timing differences between the accounting income and the taxable income for the year and reversal of timing differences of earlier years. The same is quantified using the tax rates and laws enacted or substantively enacted as on the balance sheet date.
Deferred tax assets are recognized and carried forward to the extent that there is virtual certainty the sufficient future taxable income will be available against which such deferred tax assets can be realized.

(xviii) Provisions, contingent liabilities and contingent assets

Provisions are recognized for liabilities that can be measured only by using a substantial degree of estimation, if
- Company has a present obligation as a result of a past event,
- Probable outflow of resources is expected to settle the obligation and
- Amount of the obligation can be reliably estimated.

Contingent liability is disclosed in case of:
- A present obligation arising from past events, when it is not probable that an outflow of resources will be required to settle the obligation; or
- A present obligation arising from past events, when no reliable estimate is possible; or
- A possible obligation arising from past events where the probability of outflow of resources is not remote.

Contingent assets are neither recognized, nor disclosed in financial statements.

(xix) Government grants

Government grants are recognised when there is reasonable assurance that the Company will comply with the relevant conditions and the grant will be received. These are recorded at fair value where applicable. Government grants are recognised in the statement of profit and loss, either on a systematic basis when the Company recognises, as expenses, the related costs that the grants are intended to compensate or, immediately if the costs have already been incurred.
Government grants related to assets are reduced from the value of the asset and are recognised in the statement of profit and loss by way of a reduced depreciation charge. Government grants related to income are presented as an offset against the related expenditure, and government grants that are awarded as incentives with no ongoing performance obligations to the Company are recognised as income in the period in which the grant is received.



Nucleus Satellite Communications (Madras) Private Limited
CIN: U74999TN1997PTC038400
Notes to financial statements for the year ended 31st March 2022

3 Share capital	As at March 31 , 2022	As at March 31 , 2021
Authorised		
30,00,000 (previous year: 30,00,000) equity shares of Rs. 10 each	3,00,00,000	3,00,00,000
	3,00,00,000	3,00,00,000
Issued, subscribed and paid up		
24,34,583 (previous year: 24,34,583) equity shares of	2,43,45,830	2,43,45,830
	2,43,45,830	**2,43,45,830**

(a) Reconciliation of the shares outstanding at the

	As at Mar 31, 2022		As at Mar 31, 2021	
	Number	Amount	Number	Amount
At the commencement and end of the year	24,34,583	2,43,45,830	24,34,583	2,43,45,830

(b) Rights, preference and restrictions attached to shares :

The Company has a single class of equity shares. Accordingly, all equity shares rank equally with regard to dividends and share in the Company's residual assets. The voting rights of an equity shareholder on a poll (not on show of hands) are in proportion to its share of the paid-up equity capital of the Company. Voting rights cannot be exercised in respect of shares on which any call or other sums presently payable have not been paid. On winding up of the Company, the holders of equity shares will be entitled to receive the residual assets of the Company, remaining after distribution of all preferential amounts in proportion to the number of equity shares held.

(c) Details of shareholders holding more than 5% shares

	As at Mar 31, 2022		As at Mar 31, 2021	
	Number of shares held	% holding in that class of shares	Number of shares held	% holding in that class of shares
Equity shares of Rs. 10 each fully paid-up held by -				
Mr. V Raman	7,77,382	31.93%	7,77,382	31.93%
Mr. V Lakshman	7,57,201	31.10%	7,57,201	31.10%
Mr. R Rajaraman	2,50,000	10.27%	2,50,000	10.27%
M/s Star Investment	2,50,000	10.27%	2,50,000	10.27%
Mr. K S Aghoram	1,56,250	6.42%	1,56,250	6.42%
Mrs. Chandra Raman	1,25,000	5.13%	1,25,000	5.13%

(d) Promoter Holding

Shares held by promoters as at March 31, 2022

Class of shares	Promoter name	No. of shares	% total of shares	% change during the year
Equity shares				
	Mr. V Raman	7,77,382	31.93%	-
	Mr. V Lakshman	7,57,201	31.10%	-

Shares held by promoters as at March 31, 2021

Class of shares	Promoter name	No. of shares	% total of shares	% change during the year
Equity shares				
	Mr. V Raman	7,77,382	31.93%	-
	Mr. V Lakshman	7,57,201	31.10%	-

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Nucleus Satellite Communications (Madras) Private Limited
CIN: U74999TN1997PTC038400
Notes to financial statements for the year ended 31st March 2022

4 Reserves and surplus

	As at Mar 31, 2022	As at Mar 31, 2021
Securities premium		
At the commencement and at the end of the year	97,180	97,180
General Reserve		
At the commencement and at the end of the year	86,30,590	86,30,590
Surplus in Statement of Profit and Loss		
At the commencement of the year	-14,33,74,692	-7,35,86,891
Add: Profit for the year	-5,75,39,678	-6,97,87,800
At the end of the year	**-20,09,14,370**	**-14,33,74,692**
	-19,21,86,600	**-13,46,46,922**

5 Long-term borrowings

	Non-current portion		Current portion	
	As at March, 2022	As at March, 2021	As at March, 2022	As at March, 2021
Term Loans				
Secured				
From Banks and Financial Institutions				
IDBI Mortgage Loan	9,41,88,338	7,64,51,760	-	1,20,00,000
Unsecured				
Loan from others - Vridhi	-	-	-	-
Loan from related party - unsecured	-	-	-	-
	9,41,88,338	**7,64,51,760**	**-**	**1,20,00,000**

Nature of Security	Terms of Repayment
Exclusive charge by way of Equitable Mortgage of leasehold rights (99 years lease) of the Company over 8 acres of Industrial land and building constructed thereon along with machineries and other fixed assets purchased out bank finance , situated at Sri City, Mopurupalli Village, Chitoor District, Sri Balaji Registration District, Sathyavedu Sub district, Varadaiahpalem Mandel, AP standing in the name of NSCPL.	During the year 2020-21, the Company had restructured the Term loans with IDBI vide which the exisiting facilities (Term Loan I and Term Loan II) were renewed. New Term loan III for Rs. 150 Lakhs and Funded Interest Term Loan of Rs. 75 lakhs was sanctioned as part of the restructing arrangement. The loan was not serviced since restructuring due to the CIRP.
Exclusive charge by way of Equitable Mortgage of leasehold rights (99 years lease) of	Term Loan I for an amount of Rs. 100 Lakhs was sanctioned by IDBI on November
Exclusive charge by way of Equitable Mortgage of leasehold rights (99 years lease) of the Company over 8 acres of Industrial land and building constructed thereon along with machineries and other fixed assets purchased out bank finance , situated at Sri City, Mopurupalli Village, Chitoor District, Sri Balaji Registration District, Sathyavedu Sub district, Varadaiahpalem Mandel, AP standing in the name of NSCPL.	Term Loan II for an amount of Rs. 300 Lakhs was sanctioned by IDBI on March 31, 2017 with repayment commencing from June 2017. The1epayment is over 58 instalments out of which 39 instalments has been serviced as of March 31, 2021.Before the restructing, the rate of interest was at MCLR Plus 435 bps (12.90%) with yearly interest resets and MCLR plus 185 bps (9.55%) after restructuring.As part of the restructing, the bank had deferred principal repayment from October 2020 to September 2021. The loan was not serviced since restructuring due to the CIRP.
Exclusive charge by way of Equitable Mortgage of leasehold rights (99 years lease) of the Company over 8 acres of Industrial land and building constructed thereon along with machineries and other fixed assets purchased out bank finance , situated at Sri City, Mopurupalli Village, Chitoor District, Sri Balaji Registration District, Sathyavedu Sub district, Varadaiahpalem Mandel, AP standing in the name of NSCPL.	Working Capital Term Loan , to meet the liquidity crunch arising out of Covid -19 crisis, for an amount of Rs. 150 Lakhs was sanctioned by IDBI on December 30, 2020 repayable over 36 instalments after intital moratorium of 12 months commencing from July 2021. The rate of interest was at MCLThe loan was not serviced since restructuring due to the CIRP.R Plus 100 bps (8.70%) with yearly interest resets.

PKF SRIDHAR & SANTHANAM LLP
FIRM REGN NO. 003990S/S200018
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6 Other long-term liabilities

	As at March 31, 2022	As at March 31, 2021
Trade payables	-	-
Others		
(i) Payables for utilities availed	-	-
(ii) Deferred rent	-	-
	-	-

7 Provisions

	Long-term		Short-term	
	As at March 31, 2022	As at March 31, 2021	As at March 31, 2022	As at March 31, 2021
Provision for employee benefits				
Gratuity (Refer note 38)			31,20,208	31,20,208
Compensated absences	-	-	-	-
Other provisions				
Provision for current tax (net of advance tax)	-	-	-	-
	-	-	31,20,208	31,20,208

8 Short-term borrowings

	As at March 31, 2022	As at March 31, 2021
Loans repayable on demand		
Secured		
From banks (secured) (Refer note below)		
- Cash credit and overdraft facilities	1,50,005	-
Unsecured		
- Trade Finance Borrowings	68,93,031	68,93,031
- Factoring Borrowings	-	-
Loan from Others- Vridhi (Unsecured)	3,45,00,085	3,45,00,085
Loan from Quibus Resources	1,61,00,000	1,61,00,000
Loan From Anak	1,95,54,000	1,95,54,000
Loan From Leo Traders	2,38,88,664	2,38,88,664
Loan from Cholamandalam Investment and Finance company Limited	-	-
Loan from Others	6,17,05,252	6,22,35,252
- Loan From Related Party	4,77,76,339	4,36,82,689
	21,05,67,376	20,68,53,721

Nature of borrowing and Security	Terms of Repayment
Secured Borrowings from Banks	
Short term borrowings represent Cash Credit facilites availed from IDBI with exclusive charge on entire current assets of the company both existing and future.	An overdraft facility was opened with IDBI for the purpose of transacting during CIRP Process.
Unsecured loans	
Trade Finance and factoring borrowings	
India Factoring - Factoring facility availed by the company against the personal guarantee of the directors Mr. Raman Venkatasubramanian and Mr. Lakshmanan Venkatasubramanian.	Trade finance of Rs. 756 lakhs sanctioned on April 17, 2018 re-payable on demand at 13% RoI per annum with 2% additional interest for overdrawn amount.
Oxyzo Financial Services Pvt Ltd - Factoring service availed by the Company	Work order finance of Rs. 150 lakhs obtained on September 20, 2018 repayable on demand at 16% Rate of interest with 2% additional interest on overdrawn amount.
Loan from Related party	The loans are obtained from various parties and with no repayment terms. These loans are repayable on demand.

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9 Trade payables

	As at March 31, 2022	As at March 31, 2021
Total outstanding dues of micro enterprises and small enterprises	-	-
Total outstanding dues of creditors other than micro enterprises and small enterprises	26,57,58,866	26,65,18,119
	26,57,58,866	**26,65,18,119**

As at 31st March 2022

Particulars	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
(i) MSME	-	-	-	-	-
(ii) Others		6,42,48,548	19,78,81,805	36,28,513.00	26,57,58,866
(iii) Disputed dues — MSME	-	-	-	-	-
(iv) Disputed dues - Others	-	-	-	-	-

As at 31st March 2021

Particulars	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
(i) MSME	-	-	-	-	-
(ii) Others	6,50,07,801	19,78,81,805	36,28,513	-	26,65,18,119
(iii) Disputed dues — MSME	-	-	-	-	-
(iv) Disputed dues - Others	-	-	-	-	-

10 Other current liabilities

	As at March 31, 2022	As at March 31, 2021
Current maturities of long-term debt (Refer note 5)	-	1,20,00,000
Interest accrued but not due on borrowings	52,14,477	52,14,477
Statutory dues payable	1,75,15,942	1,76,36,561
Unpaid Dividend Payable	11,25,000	11,25,000
Advances from customers	-	-
Other Outstanding Expenses	63,53,753	62,18,754
Employee benefits payable	8,70,970	8,70,970
	3,10,80,142	**4,30,65,762**

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11 Property, plant and equipment

	Leasehold Land	Buildings	Plant and equipment	Jigs and Tools	Vehicles Forklift	Office Equip & Furniture	Vehicles	Computers	Total
Gross block									
Balance as at April 1, 2020	7,15,18,729	14,27,42,348	13,60,00,760	3,85,68,003	31,29,611	1,97,53,181	-	19,18,311	**41,36,30,943**
Additions	-								-
Reduction Due to Govt. Grant									
Disposals									
Balance as at Mar, 2021	7,15,18,729	14,27,42,348	13,60,00,760	3,85,68,003	31,29,611	1,97,53,181	-	19,18,311	**41,36,30,943**
Balance as at April 1, 2021	7,15,18,729	14,27,42,348	13,60,00,760	3,85,68,003	31,29,611	1,97,53,181	-	19,18,311	**41,36,30,943**
Additions	-								-
Reduction Due to Govt. Grant									
Disposals									
Balance as at Mar, 2022	7,15,18,729	14,27,42,348	13,60,00,760	3,85,68,003	31,29,611	1,97,53,181	-	19,18,311	**41,36,30,943**
Accumulated depreciation									
Balance as at April 1, 2020	33,81,483	1,33,84,630	2,17,00,294	1,87,00,339	19,08,436	1,16,03,606	-	16,79,853	**7,23,58,642**
Depreciation for the year	6,86,291	45,20,174	66,47,726	36,70,418	5,94,626	35,28,722	-	1,47,942	**1,97,95,900**
Accumulated depreciation on disposals									-
Balance as at Mar 31, 2021	40,67,774	1,79,04,805	2,83,48,020	2,23,70,757	25,03,062	1,51,32,328	-	18,27,795	**9,21,54,541**
Balance as at April 1, 2021	40,67,774	1,79,04,805	2,83,48,020	2,23,70,757	25,03,062	1,51,32,328	-	18,27,795	**9,21,54,541**
Depreciation for the year	6,86,291	45,20,174	64,22,542	37,34,147	5,24,473	33,17,303	-	-	**1,92,04,929**
Accumulated depreciation on disposals									-
Balance as at Mar 31, 2022	47,54,065	2,24,24,979	3,47,70,562	2,61,04,904	30,27,535	1,84,49,630	-	18,27,795	**11,13,59,470**
Net block as at March 31, 2021	**6,74,50,955**	**12,48,37,543**	**10,76,52,739**	**1,61,97,246**	**6,26,549**	**46,20,854**	-	**90,516**	**32,14,76,402**
Net block as at March 31, 2022	**6,67,64,664**	**12,03,17,369**	**10,12,30,198**	**1,24,63,099**	**1,02,076**	**13,03,551**	-	**90,516**	**30,22,71,473**

12 Intangible assets

	Software
Gross block	
Balance as at April 1, 2020	19,80,661
Additions	
Disposals	
Balance as at Mar, 2021	19,80,661
Balance as at April 1, 2021	19,80,661
Additions	
Disposals	
Balance as at Mar, 2022	19,80,661
Accumulated amortisation	
Balance as at April 1, 2020	17,23,640
Amortisation for the year	66,817
Accumulated amortisation on disposals	
Balance as at Mar, 2021	17,90,457
Balance as at April 1, 2021	17,90,457
Amortisation for the year	91,171
Accumulated amortisation on disposals	
Balance as at Mar, 2022	18,81,628
Net block as at March 31, 2021	**1,90,204**
Net block as at March 31, 2022	**99,033**

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13 Deferred tax liabilities (net)	As at March 31, 2022	As at March 31, 2021
Deferred tax liabilities		
Excess of depreciation / amortisation on fixed assets under income-tax law over depreciation / amortisation provided in accounts	67,65,780	67,65,780
Deferred tax assets		
Provision for employee benefits	-	-
Provision for Gratuity		
Provision for Bonus		
Provision for deferred rent	-	-
Unrealised foreign exchange loss on translation of payables relating to capital asse	-	-
Disallowances under Section 43B of the Income Tax Act, 1961	-	-
Unabsorbed Loss Carry Forwarded - Current Year	-	-
Unabsorbed Loss Carry Forwarded - Past Years	7,61,64,915	7,61,64,915
Provision for bad and doubtful debts	-	-
Provision for doubtful advances	-	-
Provision for warranty		
	6,93,99,135	**6,93,99,135**

14 Long-term loans and advances	As at March 31, 2022	As at March 31, 2021
To parties other than related parties		
Unsecured - considered good		
Capital advances		
Security deposits	27,24,061	27,24,061
Balances with government authorities	1,98,97,468	2,00,19,497
Advance tax recoverable (net of provision for tax)		
MAT credit entitlement	1,30,74,823	1,30,74,823
	3,56,96,352	**3,58,18,381**

15 Other Non Current Assets	As at March 31, 2022	As at March 31, 2021
Term deposits with banks	15,29,640	18,75,111
	15,29,640	**18,75,111**

16 Inventories *(Value at the lower of cost and net realisable value)*	As at March 31, 2022	As at March 31, 2021
Raw materials	31,90,016	31,90,016
Work-in-progress	-	-
Finished goods	-	-
	31,90,016	**31,90,016**

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17 Trade receivables

	As at March 31, 2022	As at March 31, 2021
Receivables outstanding for a period exceeding six months from the date they became due for payment		
Unsecured, considered good	-	1,12,59,459
Doubtful	2,88,64,969	-
	2,88,64,969	1,12,59,459
Less: Provision for doubtful trade receivables	-2,88,64,969	-
	-	1,12,59,459
Other receivables		
Unsecured, considered good	-	1,77,74,106
	-	**2,90,33,565**

As at 31st March 2022

Particulars	Less than 6 months	6 months -1 year	1-2 Years	2-3 years	More than 3 years
(i) Undisputed Trade receivables – considered good	-	-	-	-	-
(ii) Undisputed Trade Receivables – considered doubtful	-	-	1,23,99,819.00	1,24,12,721.00	40,52,429.00
(iii) Disputed Trade Receivables–considered good	-	-	-	-	-
(iv) Disputed Trade Receivables – considered doubtful	-	-	-	-	-

As at 31st March 2020

Particulars	Less than 6 months	6 months -1 year	1-2 Years	2-3 years	More than 3 years
(i) Undisputed Trade receivables – considered good	-	1,25,68,415.00	1,24,12,721.00	40,52,429.00	
(ii) Undisputed Trade Receivables – considered doubtful	-	-	-	-	-
(iii) Disputed Trade Receivables–considered good	-	-	-	-	-
(iv) Disputed Trade Receivables – considered doubtful	-	-	-	-	-

18 Cash and bank balances

	As at March 31, 2022	As at March 31, 2021
Cash and cash equivalents		
- Cash on hand	-	26,103
- Balances with banks		
On current accounts	8,848	12,142
On Unpaid Dividend accounts	11,21,395	11,25,000
Other bank balances	-	-
	11,30,243	**11,63,245**

19 Short-term loans and advances

	As at March 31, 2022	As at March 31, 2021
To parties other than related parties		
Unsecured - considered good		
Balances with government authorities	-	-
Capital advances	-	-
Balances with government authorities	-	-
Advance tax recoverable (net of provision for tax)	2,289	2,289
Advance for supply of goods	1,30,11,351	1,27,11,351
Loans and advances to other parties	96,26,000	96,26,000
Loans and advances to employees	3,06,219	2,46,219
Prepaid expenses	6,12,408	9,76,560
	2,35,58,268	**2,35,62,419**

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20 Revenue from operations

	For the year ended Mar 31, 2022	For the year ended Mar 31, 2021
Sale of products		
Domestic	-	7,88,00,744
Less: Excise duty	-	-
Sale of products (net)	-	7,88,00,744
Sale of services - Job Work charges	-	76,57,818
Other operating revenues (Refer note (ii) below)	-	35,62,369
	-	**9,00,20,931**

(ii) Other operating revenues comprises of the following:

	For the year ended Mar 31, 2022	For the year ended Mar 31, 2021
Sale of scrap	-	35,62,369
Recovery from Customer	-	-
Net Gain on foreign currency transactions and translations	-	-
	-	**35,62,369**

21 Other income

	For the year ended Mar 31, 2022	For the year ended Mar 31, 2021
Interest income	93,174	6,30,296
Interest income on income tax refund	-	-
Net gain on account of foreign exchange fluctuations	-	-
Other non-operating income (Refer below)	35,639	81,91,995
	1,28,813	**88,22,291**
Other non-operating income comprise of:		
Profit on sale of property, plant and equipment (net)	-	-
Liabilities / provisions no longer required written back	-	-
Insurance claims	-	-
AP Govt. Incentives	-	81,91,995
Actuarial Gain	-	-
Miscellaneous income	35,639	-
	35,639	**81,91,995**

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22 Cost of materials consumed

	For the year ended Mar 31, 2022	For the year ended Mar 31, 2021
Inventory of raw materials at the beginning of the year	31,90,016	1,59,97,960
Add: Purchases	0	6,19,99,259
Less: Inventory of materials at the end of the year	-31,90,016	-31,90,016
Cost of materials consumed (Refer note 34)	**-**	**7,48,07,203**

23 Changes in inventories of finished goods, work-in-progress and stock-in-trade

	For the year ended Mar 31, 2022	For the year ended Mar 31, 2021
Opening inventory		
Finished goods	-	-
Work-in-progress	-	-
Stock-in-trade	-	-
	-	-
Closing inventory		
Finished goods	-	-
Work-in-progress	-	-
	-	-
Net (Increase) / Decrease in inventories	**-**	**-**

24 Other Direct Expenses

	For the year ended Mar 31, 2022	For the year ended Mar 31, 2021
Repair and Maintenance	-	12,65,664
Freight Inward	-	3,04,989
Rent Charges for LPG Cylinder	-	32,000
Screen Printing	-	-
Labour Charges (Jobwork)	-	8,20,869
Power and fuel	56,019	37,56,519
	56,019	**61,80,041**

25 Employee benefits

	For the year ended Mar 31, 2022	For the year ended Mar 31, 2021
Salaries, wages and bonus	-	1,36,98,276
Contributions to provident and other funds (Refer note 38)	-	-
Staff welfare expenses	-	47,76,370
	-	**1,84,74,646**

26 Finance costs

	For the year ended Mar 31, 2022	For the year ended Mar 31, 2021
Interest expense	78,39,072	3,95,27,599
Other borrowing costs	-	-
	78,39,072	**3,95,27,599**

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27 Depreciation and amortisation

	For the year ended Mar 31, 2022	For the year ended Mar 31, 2021
Depreciation of property, plant and equipment (Refer note 11)	1,92,04,929	1,97,95,900
Amortisation of intangible assets (Refer note 12)	91,171	66,817
	1,92,96,100	**1,98,62,716**

28 Other expenses

	For the year ended Mar 31, 2022	For the year ended Mar 31, 2021
Consumables	-	-
Development Charges	-	-
Rent/lease for Cab	-	-
Repairs and maintenance		
- Buildings	-	14,68,327
- Others	6,24,848	12,65,234
Insurance	8,10,940	-20,527
Rates and taxes	-	1,89,808
Postage and Courier Charges	-	4,355
Travelling and conveyance	-	1,04,040
Communication Expenses	11,564	2,30,137
Printing Stationery Expenses	-	1,05,318
Freight and forwarding charges	-	19,71,348
Professional & Service Charges	-	4,21,605
Office Rent and Maintenace	-	9,85,171
Security Charges	-	13,51,000
Payments to auditors (Refer note below)	-	3,00,000
Sales Promotion Expenses	-	3,78,600
Property Tax	-	-
Discount issued		
Provision for bad and doubtful receivables	2,88,64,969	-
Bank charges	14,975	4,93,054
Donation	-	-
Miscellaneous expenses	1,50,005	5,31,346
	3,04,77,300	**97,78,817**

Note: Payments to auditors

	For the year ended Mar 31, 2022	For the year ended Mar 31, 2021
As auditors		
Statutory audit	-	3,00,000
Tax audit		
Certifcate	-	-
Other services	-	-
	-	**3,00,000**

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29 Contingent liabilities and commitments

(to the extent not provided for)

	As at March 31, 2022	As at March 31, 2021
Contingent liabilities:		
a. Claims against the Company not acknowledged as debts		
- TNVAT related matters		
FY - 2009-10	30,71,485	30,71,485
FY - 2011-12	15,04,915	15,04,915
FY - 2012-13	40,15,515	40,15,515
b. Guarantees outstanding		
Outstanding bank guarantees	6,48,000	6,48,000

Out of the total demand of Rs. 85.91 lakhs, the company has made a payment of Rs. 58.90 lakhs.

c. Income Tax demand

The Company has not filed income tax returns from the Assessment year 2020-21. The value of the penalties or late fees or interest or any other demand is not ascertainable as on the date of these financials.

d. Companies Act

The Company has not complied with the RoC compliances from the year ending March 31, 2020 and pending the same,we are unable to quantify the impact of such penalties or late filing fees to be imposed.

30 Dues to micro and small suppliers

The Ministry of Micro, Small and Medium Enterprises has issued an office memorandum dated 26 August 2008 which recommends that the Micro and Small Enterprises should mention in their correspondence with its customers the Entrepreneurs Memorandum Number as allocated after filing of the Memorandum in accordance with the Micro, Small and Medium Enterprise Development Act, 2006 ('the Act'). At the same time Suppliers/ Service providers covered under Micro, Small Medium Enterprises Development Act, 2006 have not furnished the information regarding filing of necessary memorandum with the appropriate authority. The company awaits confirmation from its vendors on MSME registration.

31 Earnings in foreign currency (on accrual basis)

	As at March 31, 2022	As at March 31, 2021
Value of exports on FOB basis	-	-
	-	-

32 Value of imports on CIF basis

	As at March 31, 2022	As at March 31, 2021
Raw materials and components	-	-
Stores and spares, loose tool and consumables	-	-
Capital goods	-	-
	-	-

33 Expenditure in foreign currency (on accrual basis)

	As at March 31, 2022	As at March 31, 2021
Travelling and conveyance	-	-
	-	-

34 Details of imported and indigenous raw materials, components and spare parts / loose tools consumed during the financial year

	For the year ended March 31, 2022		For the year ended March 31, 2021	
	Amount	% of total consumption	Amount	% of total consumption
Raw materials and components				
Imported Raw Material	-	0%	-	0%
Indigenous Raw Material	-	0%	4,39,85,537	71%
Consumables and Spares	-	0%	68,33,062	11%
Packing Materials	-	0%	1,11,80,174	18%
	-	0%	6,19,98,773	100%

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35 Related party disclosure

Names of related parties and description of relationships:

Mr. V. Raman	Managing Director
Mr. Navneet Raman	Director (Date of Joining - 19/11/2020)
Mrs. Chandra Raman	Relative to the Director
Mr. V. Lakshmanan	Director (Till - 18/11/2020)

Related party transaction for the year ended March, 2022 and March 31, 2021

Nature of Transaction	Related Party	As at March 31, 2022	As at March 31, 2021
Remuneration*	Mr. V. Raman	-	-
	Mr. V. Lakshmanan	-	12,91,792
	Mr. Navneet Raman	-	-
Loan to Company	Mr. V. Raman	36,77,750	86,28,000
	Mr. V. Lakshmanan	-	13,30,000
	Mr. Navneet Raman	-	87,52,891
	Ms. Chandra Raman	5,10,400	38,80,000
Repayment of Loan	Mr. V. Raman	94,500	7,50,781
	Mr. V. Lakshmanan	-	15,80,000
	Mr. Navneet Raman	-	18,04,254
Reimbusement of Expenses	Mr. V. Raman	-	-
	Mr. Navneet Raman	-	-

Balances as at March 31, 2022 and March 31, 2021		As at March 31, 2022	As at March 31, 2021
Payable Loan	Mr. V. Raman	3,03,04,802	2,67,21,552
	Mr. V. Lakshmanan	42,50,000	42,50,000
	Mr. Navneet Raman	83,31,137	83,31,137
	Chandra Raman	48,90,400	43,80,000
Payable-Salary and Other Expenses	Mr. V. Lakshmanan	0	-
Receivable Salary and Advances	Mr. V. Raman	0	-
	Mr. Navneet Raman	0	0

36 Unhedged foreign currency exposures

There are no unhedged foreign currency exposure as on 31st March 2021. There are no Outstanding derivative contracts.

37 Earnings per share

	As at March 31, 2022	As at March 31, 2021
Weighted average number of equity shares outstanding during the year	24,34,583	24,34,583
Profit after tax	(5,75,39,678)	(6,97,87,800)
Basic earnings per share	(23.63)	(28.67)
Diluted earnings per share	(23.63)	(28.67)

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38 Employee benefits: Post-employment benefit plans

Defined contribution plan

The Company makes contributions, determined as a specified percentage of employee salaries, in respect of qualifying employees towards provident fund, which is a defined contribution plan. The company has no obligations other than to make the specified contributions. The contributions are charged to the Statement of Profit and Loss as they accrue.

Defined benefit plan

The Company operates employment defined benefit plan that provide gratuity. The gratuity plan entitles an employee who has rendered atleast 5 years of continuous service, to receive one half months salary for each of completed service at the time of retirement/exit.

Gratuity :

The liability towards gratuity is determined on the basis of actuarial valuation using the projected unit credit method as on the balance sheet date.
Since the employees have left the organizaiton effective January 2021, actuarial report has not been obtained for the year 2019-20 and 2020-21 and the gratutity liabilty has been worked out on actual basis for where there exists a provision of Rs. 31.20 lakh

Position of present value of defined benefit obligation and the fair value of plan assets

	As at March 31, 2022	As at March 31, 2021
Fair value of plan assets at the end of the year		
Present value of obligations as at the end of the year		
Funded status amount of liability net of receivable recognized in balance sheet	-	-
Classified as long term		
Classified as short term	-	

Movement in present value of defined benefit obligations

	As at March 31, 2022	As at March 31, 2021
Present value of the obligation at the beginning of the year		
Current service cost		
Interest cost on benefit obligation		
Benefits paid		
Net actuarial (gain) / loss		
Past service cost	-	
Present value of the obligation at the end of the year	-	-

Expenses recognised in the Statement of Profit & Loss:

	As at March 31, 2022	As at March 31, 2021
Current service cost		
Interest cost on benefit obligation		
Expected return on plan assets		
Net actuarial (gain)/loss recognized in the year		
Past service cost		
Total included in 'employee benefits'	-	-

Principal actuarial assumptions

The assumption used for the purpose of valuation is summarized below:

	As at March 31, 2022	As at March 31, 2021
Discount rate		
Future salary increases		
Rate of return on plan assets		
Attrition rate		

The estimate of future salary increases considered, takes into account the inflation, seniority, promotion, increments and other relevant factors.

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39 (i) Previous year's figures have been regrouped / reclassified wherever considered necessary to conform to current year's classification.

40 Disclosure requirements as notified by MCA pursuant to amended Schedule III

Title deeds of Immovable Property not held in name of the Company

i) The title deeds of all the immovable properties are held in the name of the Company.

Details of Benami Property held

The Company does not have any Benami property, where any proceeding has been initiated or pending against the company to holding any Benami Property

Wilful Defaulter

The company has not been declared as ""Wilful defaulter" by any bank or financial institution or any other lender

Relationship with Struck off Companies

The Company has reviewed transactions, to the extent of information available, for the purpose of identifying transactions with struck off companies. Based on the above review, there are no transactions with struck off companies in the current financial year.

Registration of charges or satisfaction with Registrar of Companies

The Company has registered the charges with the Registrar of Companies

Compliance with number of layers of companies

The Company has not invested in more than two levels and therefore reporting on the compliance with number of layers is not applicable.

Compliance with approved Scheme(s) of Arrangements

The Company has nothing to report on compliance with approved Scheme(s) of Arrangements.

Utilisation of Borrowed funds and share premium:

The Company has not advanced or loaned or invested funds to any other person(s) or entity(ies), including foreign entities (Intermediaries) with understanding that intermediary shall :

(a) Directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company (Ultimate Beneficiaries) or

(b) Provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries

v) The Company has not received any fund from any person(s) or entity(ies), including foreign entities (Funding party) with the understanding (Whether recorded in writing or otherwise) that the company shall;

(a) Directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the funded party (Ultimate Beneficiaries) or

(b) Provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries

Undisclosed income

vi) The Company does not have any transaction which is not recorded in the books of accounts that has been surrendered, disclosed as income during the year in the tax assessments under the income tax act, 1961(such as, search or survey or any of the relevant provisions of the Income Tax Act, 1961.

Details of Crypto Currency or Virtual Currency

iii) The Company has not traded or invested in Crypto currency or virtual currency during the financial year.

ix) For the loans and borrowings taken during the year the Company:

a) Has not been Declared as wilful defaulter by any banks or financial institutions.
b) Has complied with filing and satisfaction of charge with the Registrar of Companies
c) Has utilised the loans for the purpose for which it was borrowed

x) The Company has not paid any dividend or declared any dividend during the year and therefore reporting on compliance under section 123 of the Companies Act 2013 is not applicable.



PKF SRIDHAR & SANTHANAM LLP
Chartered Accountants

August 23, 2024

To
Mr. Ramakrishnan Sadasivan
Liquidator of Nucleus Satellite Communications (Madras) Private Limited

Dear Sir,

Sub: Financial Statements and Audit Report of Nucleus Satellite Communications (Madras) Private Limited

I am hereby attaching the Financial Statements of the company as at March 31, 2022, which have been approved in October 2023 by the Directors and yourself.

The final set along with the Audit Report is being sent herewith.

Kindly acknowledge receipt.

Thanking you,

Yours faithfully,

S. Rajeshwari
Partner

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REGISTRATION NO. WITH ICAI - 003990S/S200018

INDEPENDENT AUDITORS' REPORT

To the Members of Nucleus Satellite communications (Madras) Private Limited

Report on the Audit of the Financial Statements

Qualified Opinion

We have audited the accompanying financial statements of Nucleus Satellite Communications (Madras) Private Limited ("the Company"), which comprise the Balance sheet as at 31 March 2022, and the Statement of Profit and Loss and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, except for the possible effects of matters described in the ***"Material Uncertainty Related to Going Concern and Basis for qualified opinion"*** **paragraphs,** the aforesaid financial statements give the information required by the Act in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at 31 March 2022, its loss, and its cash flows for the year ended on that date.

Basis for Qualified Opinion

Reference is drawn to Note No: 13 of the Financial statements where the company has recognized a Deferred Tax Asset of Rs. 693.99 lakhs as of March 31, 2022, on account of unabsorbed depreciation and carry forward losses. Reference is drawn to Note 14 of the Financial statements where the company has recognized Minimum Alternate Tax entitlement (MAT) of Rs. 130.74 lakhs. As there are existence of indicators of material uncertainty about Company's ability to continue as a going concern as stated in above 'Material uncertainty related to Going concern' paragraph, in our opinion, the Deferred tax asset and Minimum Alternate Tax (MAT) recognised in books is to be derecognised by the Company. Had the company de- recognised the deferred tax asset of Rs 693.99 lakhs and MAT of Rs. 130.74 lakh, the loss for the year would have been higher by that amount and net worth as on 31'st March 2022 would have been lower by the same amount.

Reference is drawn to Note No:19 where advances to the tune of Rs. 223.37 lakhs have been paid to several parties as of March 31, 2022 for which no supporting documents are available. In the absence of any documentation on the same, we are unable to comment upon the recoverability of the same. Had the company been providing for these loans and advances , the losses would have been higher by such amount.

Reference is drawn to Note No:8, disclosing that the company has accepted loans from various parties to the tune of Rs. 1401.16 lakhs in violation of 'Acceptance of Deposit Rules, 2013' of the Companies Act 2013, that will attract penalty under section 76A of the Companies Act 2013. Further, in the absence of any supporting documents containing the terms of repayment or the rate of interest for such loans taken, we are unable to determine if any adjustments to the carrying values of such loan balances might have been found necessary.

Reference is drawn to Note : 29.c and note no 29.d of the financial statements regarding non filing of Income tax returns for the year and non-filing of statutory returns under the Companies Act 2013. At this juncture, we are unable to ascertain the consequence of such legal non compliances and the consequent financial implications, if any.,

We have been informed by the Liquidator and Resolution Professional that certain information including the minutes of the meetings of the Committee of creditors and the outcome of certain procedures carried out as part of the CIRP are confidential in nature and could not be shared with anyone other than the Committee of creditors and NCLT. Accordingly, we are unable to

comment on the possible financial impact, presentation and disclosures, if any, that may arise if we were provided access to that information.

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India (ICAI) together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis Of Matters

We draw attention to Note : 1 in the Financial statements which states that On 14th October 2022, the National Company Law Tribunal (NCLT), Division Bench – I ,Chennai , directed to Initiate Corporate Insolvency Resolution Process (CIRP) against the Company by admitting the application under section 9 of Insolvency and Bankruptcy Act, 2016 (IBC Act , 2016) filed by POSCO India Processing Center Pvt Ltd ,one of the Operational Creditors. The company is under Moratorium period as provided by section 14 of the IBC Act 2016 and the due date for completion of the CIRP process was 11th July 2023 .As of the date of this audit report the Resolution Professional has issued Expression of Interest for invitation of the resolution plan by the applicants under CIRP and the outcome is awaited. The NCLT, Pursuant to the application made under section 60(5) of the IBC 2016, has ordered for liquidation of the of the Corporate Debtor (the Company) and appointed Mr. Ramakrishnan Sadasivan as the liquidator vide its order IA/IBC/1515/CHE/2023 dated September 12, 2023.The process of claim submission by various creditors is still continuing and pending final outcome, no accounting impact has been made in the books in respect of excess or short claims or non – receipt of claims.

We draw attention to Note:16 of the financial statements stating that closing inventory of Rs. 31.90 lakhs held by the Company as of March 31, 2022, was not subject to physical verification by the company. The Company had closed its operations effective January 1, 2021 and hence, no physical verification of the inventory was conducted for the year ending March 31, 2022.Consequently, we have performed alternate procedures to audit the existence of inventory as per the guidance provided in SA 501 "Audit Evidence - Specific Considerations for selected Items" and have obtained sufficient appropriate audit evidence on existence of this inventory. Our opinion is not modified in respect of this matter.

Material Uncertainty related to Going Concern:-

Reference is drawn to Note No: 1 and 2 (iii) of the financial statements wherein the company has been continuously incurring losses due to which the net worth of the company has been fully eroded as at the year ending March 31, 2022. The company has also reported a negative net working capital for the year ending March 31, 2022, whereby the current liabilities has exceeded the current assets by Rs.4826.48 lakhs. Additionally, due to onset of the Covid – 19 pandemic, the company had restricted its operations and ultimately stopped its operations completely from January 1, 2021.

On 14th October 2022, the National Company Law Tribunal (NCLT), Division Bench – I ,Chennai , directed to Initiate Corporate Insolvency Resolution Process {CIRP) against the Company by admitting the application under section 9 of Insolvency and Bankruptcy Act, 2016 (IBC Act , 2016) filed by Posco India Processing Center Pvt Ltd ,one of the Operational Creditors. The company is under Moratorium period as provided by section 14 of the IBC Act 2016 and the due date for completion of the CIRP process was 11th July 2023. The NCLT, Pursuant to the application made under section 60(5) of the IBC 2016, has ordered for

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liquidation of the of the Corporate Debtor (the Company) and appointed Mr. Ramakrishnan Sadasivan as the liquidator vide its order IA/IBC/1515/CHE/2023 dated September 12, 2023.

The above conditions indicate the existence of material uncertainty that may cast significant doubt about the company's ability to continue as a going concern. However, the financial statements of the company have been prepared on a going concern basis for the reason stated in Note no: 2(iii) in view of the ongoing CIRP, the outcome of which cannot be presently ascertained.

Information Other than the Financial Statements and Auditors' Report Thereon

The Company's Board of Directors (now suspended) under the direction of the Resolution Professional (RP) is responsible for the other information. The other information comprises the information included in the Directors' report but does not include the financial statements and our auditors' report thereon. The Director's report shall be issued at a later date.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information when it becomes available, and in doing so, consider whether the other information is materially inconsistent with the financial statements, or our knowledge obtained in the audit or otherwise appears to be materially misstated. When we read the Directors report, if we conclude that there is a material misstatement of this other information, we are required to communicate the matter to those charged with governance.

Responsibilities of the Management and Those Charged with Governance for Financial Statements

The Company has been under the Corporate Insolvency Resolution Process, (CIRP) under the provisions of the Insolvency and Bankruptcy code, 2016 vide order dated October 14, 2022, passed by the National Company Law Tribunal. The Power of the board of directors stand suspended as per section 17 of the code and such powers are being exercised by the Resolution Professional (RP) appointed by the NCLT vide the said order.

The Company's Board of Directors (now suspended) under the direction of the RP is responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these financial statements that give a true and fair view of the financial position, financial performance, and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the accounting Standards specified under section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors (now suspended) /management are also responsible for overseeing the company's financial reporting process.

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Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.



Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditors' Report) Order, 2016 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013, we give in the "Annexure A" a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.

2. As required by Section 143(3) of the Act, we report that:

   (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.

   (b) In our opinion, except for the effect of the matters described under the Material Uncertainty Related to Going Concern, Basis for Qualified Opinion and Emphasis of Matter paragraphs , proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.

   (c) The Balance Sheet, the Statement of Profit and Loss, and the Cash Flow Statement dealt with by this Report are in agreement with the books of accounts.

   (d) In our opinion, except for the effect of the matters described under the Material Uncertainty Related to Going Concern, Basis for Qualified Opinion and Emphasis of Matters paragraphs, the aforesaid financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.

   (e) The matters described under the Material uncertainty related to Going concern, Basis for Qualified opinion and Emphasis of matter Paragraphs, may have an adverse effect on the functioning of the company.

   (f) On the basis of the written representations received from the directors as on 31 March 2022 taken on record by the Board of Directors, none of the directors is disqualified as on 31 March 2022 from being appointed as a director in terms of Section 164 (2) of the Act.

   (g) With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, the clause is not applicable to the company for the period under report.

   (h) With respect to the other matters to be included in the Auditors' Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

      i. The Company has disclosed the impact of pending litigations on its financial position in its financial statements – Refer Note 29 to the financial statements.

      ii. The company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.

      iii. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Company

      iv. a) The management has represented that, to the best of its knowledge and belief, other than as disclosed in the notes to the accounts, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any

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manner whatsoever by or on behalf of the company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

b) The management has represented, that, to the best of its knowledge and belief, other than as disclosed in the notes to the accounts, no funds have been received by the company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the company shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and

c) Based on audit procedures which we considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) contain any material mis-statement.

v. The company has not declared or paid any dividend during the year in contravention of the provisions of section 123 of the Companies Act, 2013.

vi. Proviso to Rule 3(1) of the Companies (Accounts) Rules, 2014 for maintaining books of account using accounting software which has a feature of recording audit trail (edit log) facility is applicable to the Company with effect from April 1, 2023, and accordingly, reporting under Rule 11(g) of Companies (Audit and Auditors) Rules, 2014 is not applicable for the financial year ended March 31, 2022.

3. With respect to the other matters to be included in the Auditor's Report in accordance with the requirements of section 197(16) of the Act, as amended, we report that section 197 is not applicable on private company. Hence reporting as per section 197(16) is not required.

For PKF Sridhar & Santhanam LLP
Chartered Accountants
Firm's Registration No.003990S/S200018

Signature

PKF SRIDHAR & SANTHANAM LLP * CHENNAI * FIRM REGN NO. 003990S/S200018

Partner: Rajeshwari S
Membership No.: 024105
Place of signature: Chennai
Date: 22/8/24
UDIN: 24024105BKAOFE3093.

Annexure A

Referred to in paragraph 1 on 'Report on Other Legal and Regulatory Requirements' of our report of even date.

I. (a) (A) Based on the records examined by us and information and explanation given to us the Company has maintained proper records showing full particulars, including quantitative details and situation of Property, Plant and Equipment.

(B) Based on the records examined by us and information and explanation given to us the Company has maintained proper records showing full particulars of Intangible Assets.

(b) The Company had a regular program of verifying fixed assets in a phased manner which, in our opinion, is reasonable having regard to the size of the Company and nature of its assets. However, there was no physical verification of fixed assets conducted during the year 2021-22 and hence, we are unable to comment upon discrepancies, if any, noted during such verification.

(c) According to the information and explanations given to us and the records examined by us and based on the examination of the relevant records provided to us, we report that, the title deeds, comprising all the immovable properties are held in the name of the Company as at the balance sheet date.

(d) The Company has not revalued any of its property, plant and equipment and intangible assets during the year.

(e) No proceedings have been initiated during the year or are pending against the Company as at March 31, 2022 for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (as amended in 2016) and rules made thereunder.

II. (a) The company has not conducted physical verification of inventories during the year ended March 31, 2022. and hence we are unable to comment upon the discrepancies, if any, between the books of accounts and physical inventory.

(b) According to the information and explanations given to us, at any point of time of the year, the Company has not been sanctioned any working capital facility from banks or financial institutions in excess of five crore rupees on the basis of security of current assets, and hence reporting under clause (ii)(b) of the Order is not applicable.

III. (a) On the basis of examination of records of the Company and information and explanation given to us, during the year the Company has not made any investments or provided any guarantee or security or granted any loans or advances in the nature of loans, secured or unsecured, to companies, firms, Limited Liability Partnerships or any other parties and hence reporting under this clause of the order is not applicable.

IV. In our opinion and according to the information and explanations given to us, the Company has not directly or indirectly advanced loan to the persons covered under Section 185 of the Act or given guarantees or securities in connection with the loan taken by such persons and has complied with the provisions of section 186 of the Act, in respect of investments, loans, guarantee or security given, as applicable.

V. Based on our audit procedures & according to the information and explanation given to us, the Company has accepted loans/advances from several parties during the year, whose outstanding balance as on 31st Mar 2022 is Rs.1401.16 lakh which is not in accordance with the provisions of Section 73 to 76 of the Companies Act 2013.

According to Section of the Companies Act, 2013 a Company shall not accept deposits from the public except other than from its members in the manner prescribed under the above-mentioned sections. However, the Company has obtained advances from several parties which are neither its members nor they have been received for business purposes towards supply of goods or services. Contravention of these provisions may attract penalty under section 76A of the Companies Act.

VI. The Company is not required to maintain cost records specified by the Central Government under sub-section (1) of section 148 of the Act.

VII. (a) According to the information and explanations given to us and the records of the Company examined by us the Company has not been regular in depositing undisputed statutory dues including provident fund, Income Tax, Employees State Insurance, Goods and Services Tax with the appropriate authorities and there have been serious delays in large number of cases. According to the information and explanation given to us and the records of the Company, the Company has undisputed amounts payable in respect of Income Tax, Provident Fund, Employee State Insurance, Goods and Services Tax, customs duty, value added tax as at March 31, 2022, for a period of more than six months from the date they became payable in the following cases.

Name of the statute	Nature of Dues	Amount	Period to which the amount relates to	Due date
Income Tax Act 1961	TDS	10,82,626	October 2018 to March 2019	7th of the subsequent months
Income Tax Act 1961	TDS	47,28,364	April 2019 to March 2022	7th of the subsequent months
Income Tax Act 1961	TCS	5,05,603	April 2019 to March 2022	7th of the subsequent months
Goods and Services Act,2017	CGST	60,17,473	April 2020 to March 2022	7th of the subsequent months
Goods and Services Act,2017	SGST	49,66,374	April 2020 to March 2022	7th of the subsequent months
Provident Fund Act 1952	Provident Fund	71,19,278	October 2018 to March 2022	15 th of subsequent months
Employee state Insurance Act,	ESI	642,937	April 2020 to August 2020	15 th of subsequent months

(b) Dues relating to income tax / sales tax / service tax / duty of customs / duty of excise / value added tax, which have not been deposited on account of any dispute, are stated in the table below:

Name of the statute	Period	Amount (in Rs. Lacs)	Forum where the dispute is pending
TN VAT	FY 2009-10	3.86	The Appellate Deputy Commissioner (CT) – V Kancheepuram
TN VAT	FY 2012-13	23.14	The Assistant Commissioner (CT)

VIII. According to information and explanation given to us and examination of records of the Company, there are no transactions surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961.

IX. Based on the examination of records of the Company and information and explanation given to us, the Company has availed Term loans from IDBI bank which was restructured on December 30th 2020 and the repayment terms for these term loans

commenced from October 1, 2021. Since the company stopped operations from January 1, 2021, the company has defaulted the repayment of these loans since the date of first scheduled repayment and due to the ongoing CIRP Process, the entire loan has been treated as payable on demand by the Bank. The amount of default along with the number of days delay has been reported as under:

Nature of borrowing including debt securities	**Name of lender***	**Amount not paid on due date**	**Whether principal or interest**	**No. of days delay or unpaid as at 31'st March 2022**
Term Loan – I	IDBI Bank	652.54 lakhs	Both principal and interest	182 days
Term loan - II	IDBI Bank	137.96 Lakhs	Both principal and interest	
WCTL under GECL Scheme	IDBI Bank	151.67 Lakhs	Both principal and interest	

X. (a) In our opinion and according to the information and explanations given to us, the Company has not raised moneys by way of initial public offer or further public offer (including debt instruments) and hence reporting under clause x(a) of paragraph 3 of the Order is not applicable to the Company.

(b) In our opinion and according to the information and explanation given to us, the Company during the year has not made any preferential allotment or private placement of shares or fully or partly convertible debentures and hence reporting under clause x(b) of paragraph 3 of the Order is not applicable to the Company.

XI. (a) Based on the audit procedures performed by us and according to the information and explanations given to us, no material fraud by the Company or on the Company has been noticed or reported during the year.

(b) According to the information and explanations given to us, no report under sub-section (12) of section 143 of the Act has been led by the auditors in form ADT-4 as prescribed under rule 13 of the Companies (Audit and Auditors) Rules, 2014 with the Central Government.

(c) As represented to us by the management, there are no whistle blower complaints received by the Company during the year.

XII. The Company is not a Nidhi Company and hence reporting under clause (xii) of the Order is not applicable to the Company.

XIII. In our opinion and according to the information and explanations given to us, the Company is in compliance with Sections 177 and 188 of the Act, where applicable, for all transactions with the related parties and the details of related party transactions have been disclosed in the financial statements etc. as required by the applicable accounting standards.

XIV. (a) In our opinion and based on our examination, Since the company is not functioning since January 2021, there is no internal audit system implemented and hence, the said clause is not applicable.

XV. According to the information and explanations given to us, during the year, the Company has not entered into any non-cash transactions with its directors or directors of its associate company or persons connected with them, and hence provisions of Section 192 of the Act, are not applicable.

XVI. (a) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934.

(b) On the basis of examination of records and according to the information and explanation given to us by the Company, the Company has not conducted any Non-Banking Financial or Housing Finance activities hence the reporting requirements under clause xvi(b) of paragraph 3 of the Order is not applicable.

(c) In our opinion and according to the information and explanation given to us, the Company is not a Core Investment Company as defined in the regulations made by the Reserve Bank of India.

(d) As represented by the management, the Group does not have any Core Investment Company as part of the Group as per the definition of Group contained in the Core Investment Companies (Reserve Bank) Directions, 2016 and hence the reporting under clause (xvi)(d) of paragraph 3 of the Order is not applicable.

XVII. Based on the examination of records, the Company has incurred cash losses of Rs. 382.43 Lakhs in the financial year and Rs. 499.25 lakhs in the immediately preceding financial year.

XVIII. There has been no resignation of the statutory auditors during the year and accordingly this clause is not applicable.

XIX. According to the information and explanations given to us and on the basis of the financial ratios, ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the financial statements, our knowledge of the Board of Directors and management plans and based on our examination of the evidence supporting the assumptions, a material uncertainty exists as on the date of the audit report that Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. The Company is under the process of Corporate Insolvency Resolution Plan and liquidator has been appointed for sale of assets of the company on liquidation basis.

XX. (a) Based on the examination of records of the Company and according to the information and explanation given to us by the Company, in respect of other than ongoing projects, there were no unspent amount that were required to be transferred to a Fund specified in Schedule VII in compliance with second proviso to sub-section 5 of section 135 of the Act.

(b) Based on the examination of records of the Company, and according to the information and explanations given to us, in respect of ongoing projects there were no unspent amount that were required to be transferred to special account in compliance with provision of sub section 6 of section 135 of the Act.

For PKF Sridhar &Santhanam LLP
Chartered Accountants
Firm's Registration No.003990S/S200018

Rajeshwari S

Rajeshwari S
Partner
Membership No. 024105
Place of signature: Chennai
Date: 22/8/24
UDIN:
24024105BKAOFE3093.